Illustration 10

Anu Company forfeited 200 equity shares of ₹ 10 each issued at par held by Thiyagu for nonpayment of the final call of ₹ 3 per share. The shares were reissued to Laxman at ₹ 6 per share. Show the journal entries for forfeiture and reissue.

Solution

In the books of Anu Company

Journal entries

Date	Particulars			L.F.	Debit ₹	Credit ₹
	Equity share capital A/c	(200 × 10)	Dr.		2,000	
	To Equity share final call A/c	(200 × 3)				600
	To Forfeited shares A/c	(200 × 7)				1,400
	(200 shares forfeited)					
	Bank A/c	(200 × 6)	Dr.		1,200	
	Forfeited shares A/c	(200 × 4)	Dr.		800	
	To Share capital A/c	(200 × 10)				2,000
	(Forfeited shares reissued)					
	Forfeited shares A/c	(1,400-800)	Dr.		600	
	To Capital reserve A/c					600
	(Gain on reissue of forfeited shares transferred to capital reserve account)					

Illustration 11

Maruthu Ltd. forfeited 150 equity shares of ₹ 10 each for non payment of final call of ₹ 4 per share. Of these 100 shares were reissued @ ₹ 9 per share. Pass journal entries for forfeiture and reissue.

Solution

In the books of Maruthu Ltd.

Journal entries

Date	Particulars			L.F.	Debit ₹	Credit ₹
	Equity share capital A/c	(150 × 10)	Dr.		1,500	
	To Equity share final call A/c	(150 × 4)				600
	To Forfeited shares A/c	(150 × 6)				900
	(50 shares forfeited)					
	Bank A/c	(100 × 9)	Dr.		900	
	Forfeited shares A/c	(100 × 1)	Dr.		100	
	To Equity share capital A/c	(100 × 10)				1,000
	(100 forfeited shares reissued @ ₹ 9 per share)					

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